

FINANCE CLUSTER EXAM
SAMPLE PRACTICE EXAM

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1. Converting data into a code so that it cannot be read by unauthorized people is
 - A. compression
 - B. formatting
 - C. encryption
 - D. indexing
2. An investor buys shares for \$5,000 and later sells them for \$5,600. What is the return on investment?
 - A. 8.3%
 - B. 60%
 - C. 1.2%
 - D. 12%
3. Posting a job opening on a company's website is part of which human resources activity?
 - A. Recruitment
 - B. Performance appraisal
 - C. Separation
 - D. Arbitration
4. A company earned net income of \$30,000 on net sales of \$200,000. What is its net profit margin?
 - A. 15%
 - B. 6.7%
 - C. 30%
 - D. 85%
5. A client offers a financial employee an expensive gift in the hope of receiving special treatment. What is the most ethical response?
 - A. Accept the gift but tell no one
 - B. Accept the gift and give the client special treatment
 - C. Politely decline the gift and follow company policy
 - D. Ask the client for a larger gift
6. In most cases, a contract signed by a minor is
 - A. void from the start
 - B. voidable by the minor
 - C. always enforceable
 - D. a criminal offence

7. The owner of a sole proprietorship can lose personal assets to pay the business's debts because the owner has
 - A. limited liability
 - B. unlimited liability
 - C. corporate immunity
 - D. a fiduciary duty
8. The amount the insured must pay out of pocket before the insurance company pays a claim is the
 - A. deductible
 - B. premium
 - C. policy limit
 - D. rider
9. The level of service that customers expect based on a company's advertising and reputation is part of its
 - A. balance sheet
 - B. cost structure
 - C. brand promise
 - D. credit policy
10. An investor who buys a corporate bond becomes the corporation's
 - A. creditor
 - B. owner
 - C. partner
 - D. shareholder
11. If the supply of a product increases while demand stays the same, the product's price will most likely
 - A. rise
 - B. stay the same
 - C. be set by law
 - D. fall
12. A bill that a seller sends to a buyer listing the goods sold and the amount owed is a(n)
 - A. purchase requisition
 - B. invoice
 - C. bill of lading
 - D. credit memo
13. A measurable value that shows how effectively a company is achieving an important business objective is a
 - A. vision statement
 - B. key performance indicator
 - C. standard operating procedure
 - D. fixed cost

14. A portion of a corporation's earnings that is paid out to its shareholders is called a
 - A. coupon
 - B. premium
 - C. royalty
 - D. dividend
15. A client who crosses their arms and leans away during a meeting may be communicating
 - A. defensiveness or discomfort
 - B. agreement
 - C. enthusiasm
 - D. openness
16. A form of business ownership that is a legal entity separate from its owners is a
 - A. sole proprietorship
 - B. corporation
 - C. general partnership
 - D. licensing agreement
17. Which of the following is an example of active listening?
 - A. Planning your reply while the speaker is talking
 - B. Checking messages during the conversation
 - C. Interrupting to share a similar story
 - D. Paraphrasing the speaker's main point to confirm understanding
18. A company's debt-to-equity ratio is primarily a measure of its
 - A. liquidity
 - B. financial leverage
 - C. inventory turnover
 - D. gross margin
19. Under the first-in, first-out (FIFO) inventory method, the cost of goods sold is based on the cost of
 - A. the most recent items purchased
 - B. the average of all purchases
 - C. the oldest items purchased
 - D. the current retail price
20. Receiving the proceeds of a long-term bank loan is reported in which section of the statement of cash flows?
 - A. Investing activities
 - B. Financing activities
 - C. Operating activities
 - D. Equity adjustments

21. A list of all general ledger accounts and their balances, used to check that total debits equal total credits, is a
- A. bank reconciliation
 - B. balance sheet
 - C. trial balance
 - D. general journal
22. The total market value of all final goods and services produced within a country in one year is its
- A. consumer price index
 - B. balance of trade
 - C. national debt
 - D. gross domestic product
23. The basic economic problem that exists because resources are limited while wants are unlimited is
- A. inflation
 - B. surplus
 - C. productivity
 - D. scarcity
24. Buying or selling a company's shares based on important information that has not been released to the public is
- A. short selling
 - B. insider trading
 - C. arbitrage
 - D. day trading
25. In general, investments that offer higher potential returns also carry
- A. lower risk
 - B. higher risk
 - C. guaranteed returns
 - D. no taxes
26. How much simple interest will be earned on \$2,000 invested at 5% per year for three years?
- A. \$100
 - B. \$315.25
 - C. \$300
 - D. \$3,000
27. A goal that is specific, measurable, attainable, relevant, and time-bound is a
- A. mission statement
 - B. SMART goal
 - C. stretch target
 - D. vision statement

28. Buying insurance is an example of which risk management strategy?
- A. Avoiding risk
 - B. Retaining risk
 - C. Ignoring risk
 - D. Transferring risk
29. Allocating the cost of a long-term tangible asset, such as a delivery truck, over its useful life is called
- A. appreciation
 - B. accrual
 - C. capitalization
 - D. depreciation
30. Which of the following is a healthy way to manage workplace stress?
- A. Skipping meals to finish work faster
 - B. Working late every night
 - C. Prioritizing tasks and taking short breaks
 - D. Keeping all problems to yourself
31. A general increase in the prices of goods and services over time is
- A. deflation
 - B. recession
 - C. depreciation
 - D. inflation
32. The specific group of customers that a business aims to reach with its products is its
- A. supply chain
 - B. board of directors
 - C. target market
 - D. sales quota
33. In a SWOT analysis, a new competitor entering the company's market would be classified as a(n)
- A. threat
 - B. strength
 - C. weakness
 - D. opportunity
34. A store has net sales of \$500,000 and cost of goods sold of \$300,000. What is its gross profit?
- A. \$800,000
 - B. \$200,000
 - C. \$300,000
 - D. \$60,000

35. An employee notices a spill on the floor of the bank lobby. What should the employee do first?
- A. Block off the area and report the spill
 - B. Finish serving the current customer
 - C. Post a notice on the staff bulletin board
 - D. Wait for the cleaning staff's scheduled visit
36. A significant decline in economic activity that lasts for several months or more is a
- A. expansion
 - B. recession
 - C. recovery
 - D. peak
37. An asset that a borrower pledges to a lender to secure a loan is called
- A. principal
 - B. equity
 - C. collateral
 - D. interest
38. Requiring one employee to receive cash payments and a different employee to record them is an example of
- A. job rotation
 - B. vertical integration
 - C. separation of duties
 - D. cross-training
39. If inflation is 4% per year and a savings account pays 1.5% interest, the saver's approximate real rate of return is
- A. 5.5%
 - B. 2.5%
 - C. 1.5%
 - D. -2.5%
40. The process of introducing new employees to the company, its policies, and their coworkers is
- A. termination
 - B. orientation
 - C. recruitment
 - D. compensation
41. The main purpose of a bank reconciliation is to
- A. apply for a business loan
 - B. explain differences between the business's cash records and the bank statement
 - C. calculate the business's income tax
 - D. transfer money between accounts

42. Recognizing how your own emotions affect your work performance is an example of
- A. empathy
 - B. delegation
 - C. networking
 - D. self-awareness
43. A company's fixed costs are \$20,000. It sells its product for \$50 per unit, and the variable cost is \$30 per unit. How many units must it sell to break even?
- A. 400 units
 - B. 667 units
 - C. 1,000 units
 - D. 2,500 units
44. A risk that offers only the chance of loss or no loss, such as a fire damaging a building, is a
- A. speculative risk
 - B. market risk
 - C. pure risk
 - D. opportunity risk
45. The main purpose of a résumé is to
- A. list every job you have ever applied for
 - B. state the salary you expect
 - C. replace the job interview
 - D. summarize your qualifications so an employer will invite you to an interview
46. A financial advisor who is legally required to act in the client's best interest has a(n)
- A. warranty obligation
 - B. easement
 - C. lien
 - D. fiduciary duty
47. Which professional designation is commonly held by people who help clients create personal financial plans?
- A. Project Management Professional (PMP)
 - B. Registered Nurse (RN)
 - C. Certified Financial Planner (CFP)
 - D. Certified Information Systems Auditor (CISA)
48. An employee reports a mistake they made even though no one else noticed it. The employee is demonstrating
- A. integrity
 - B. ambition
 - C. flexibility
 - D. persuasion

49. Earning interest on both the original principal and the interest already earned is known as
- A. compounding
 - B. discounting
 - C. amortization
 - D. simple interest
50. Keeping more inventory on hand than a business needs increases the business's
- A. sales revenue
 - B. carrying costs
 - C. gross margin
 - D. customer loyalty
51. Spreading money among many different types of investments to reduce overall risk is called
- A. speculation
 - B. diversification
 - C. leveraging
 - D. arbitrage
52. Failing to perform the duties agreed to in a legally binding agreement is a
- A. tort
 - B. misdemeanour
 - C. lien
 - D. breach of contract
53. A market in which there is only one seller of a product that has no close substitutes is a
- A. oligopoly
 - B. perfect competition
 - C. monopoly
 - D. monopolistic competition
54. Taking courses after you start working to keep your professional skills and knowledge up to date is
- A. continuing education
 - B. job shadowing
 - C. orientation
 - D. probation
55. In a business letter, the main purpose of the letter should usually be stated in the
- A. first paragraph
 - B. signature block
 - C. closing paragraph
 - D. postscript
56. Which financial statement reports a business's revenues and expenses over a specific period of time?
- A. Balance sheet
 - B. Statement of cash flows
 - C. Statement of owner's equity
 - D. Income statement

57. The most effective way to respond to constructive criticism from a supervisor is to
- A. listen and ask how you can improve
 - B. explain why the supervisor is wrong
 - C. complain to coworkers
 - D. ignore the feedback
58. Which of the following is required for a contract to be legally enforceable?
- A. A notary's stamp
 - B. A lawyer's approval
 - C. Consideration
 - D. A written document in every case
59. A word, name, or symbol that legally identifies a company's products and distinguishes them from competitors' products is a
- A. patent
 - B. copyright
 - C. trademark
 - D. trade secret
60. Two team members disagree about how to complete a project. The best first step is for them to
- A. discuss the issue directly and respectfully
 - B. complain to the rest of the team
 - C. stop communicating until the project ends
 - D. let the loudest person decide
61. Under accrual-basis accounting, revenue is recorded when it is
- A. earned
 - B. collected in cash
 - C. deposited in the bank
 - D. budgeted
62. Clearly and respectfully stating your own needs while also considering the needs of others is
- A. assertive communication
 - B. aggressive communication
 - C. passive communication
 - D. passive-aggressive communication
63. When a central bank raises its key interest rate, borrowing money generally becomes
- A. more expensive
 - B. cheaper
 - C. tax-free
 - D. unavailable
64. The document a buyer sends to a supplier to order goods is a
- A. purchase order
 - B. invoice
 - C. receipt
 - D. packing slip

65. Money owed to a business by customers who bought on credit is recorded as
- A. accounts payable
 - B. retained earnings
 - C. accounts receivable
 - D. unearned revenue
66. The amount a policyholder pays regularly to an insurance company for coverage is the
- A. deductible
 - B. claim
 - C. beneficiary
 - D. premium
67. When dealing with an angry customer, an employee should
- A. raise their voice to be heard
 - B. argue about who is at fault
 - C. ignore the customer until they calm down
 - D. remain calm and professional
68. A manager who asks team members for their ideas before making a decision is using which leadership style?
- A. Democratic
 - B. Autocratic
 - C. Laissez-faire
 - D. Bureaucratic
69. When a customer calls to complain about an error on their account, the employee should first
- A. explain the company's policies
 - B. transfer the call to a manager
 - C. listen carefully to understand the problem
 - D. offer a refund right away
70. Checking products or services against established standards to make sure they meet requirements is
- A. market research
 - B. cost accounting
 - C. product positioning
 - D. quality control
71. Regularly copying important business files to a separate storage location protects a business against
- A. data loss
 - B. identity theft
 - C. price changes
 - D. market saturation

72. Which of the following is a mandatory payroll deduction for most employees?
- A. Charitable donations
 - B. Gym membership fees
 - C. Income tax withholding
 - D. Voluntary retirement savings contributions
73. Which of the following is an example of controlling expenses in an office?
- A. Ordering supplies by rush shipment
 - B. Turning off equipment when it is not in use
 - C. Printing extra copies of every document
 - D. Leaving the lights on overnight
74. A business has revenue of \$250,000 and total expenses of \$190,000. What is its net income?
- A. \$440,000
 - B. \$190,000
 - C. \$25,000
 - D. \$60,000
75. Before writing a report for the company's board of directors, the writer should first identify the report's
- A. font and page size
 - B. binding type
 - C. page count
 - D. audience and purpose
76. Which type of software is best suited for creating a monthly budget that calculates totals automatically?
- A. Word processing
 - B. Spreadsheet
 - C. Presentation
 - D. Web browser
77. An email that pretends to be from a bank and asks the recipient to confirm their password is an example of
- A. encryption
 - B. a firewall
 - C. a spam filter
 - D. phishing
78. Which action is most likely to build long-term customer loyalty at a financial institution?
- A. Consistently providing reliable service
 - B. Adding fees without notice
 - C. Changing policies frequently
 - D. Reducing the hours that branches are open

79. A brief statement that describes a company's purpose and what it does is its
- A. balance sheet
 - B. organizational chart
 - C. job description
 - D. mission statement
80. In which section of the statement of cash flows would the purchase of new equipment be reported?
- A. Operating activities
 - B. Investing activities
 - C. Financing activities
 - D. Non-cash activities
81. A business has current assets of \$150,000 and current liabilities of \$60,000. What is its current ratio?
- A. 0.4
 - B. 2.5
 - C. \$90,000
 - D. 1.5
82. According to the law of demand, when the price of a product rises, the quantity demanded generally
- A. increases
 - B. stays the same
 - C. decreases
 - D. doubles
83. An organized collection of related information that can be easily searched, sorted, and updated is a
- A. database
 - B. spreadsheet chart
 - C. word-processing template
 - D. slide show
84. Building professional relationships with people who may be able to help your career is called
- A. bartering
 - B. outsourcing
 - C. networking
 - D. benchmarking
85. In double-entry accounting, an increase in an asset account is recorded as a
- A. credit
 - B. debit
 - C. reversing entry
 - D. closing entry

86. The difference between a budgeted amount and the actual amount spent is a
- A. forecast
 - B. margin
 - C. dividend
 - D. variance
87. The ease with which an asset can be converted into cash without a significant loss of value is its
- A. solvency
 - B. liquidity
 - C. leverage
 - D. profitability
88. An investment that pools money from many investors to buy a professionally managed, diversified portfolio of securities is a
- A. mutual fund
 - B. certificate of deposit
 - C. savings bond
 - D. money order
89. Which of the following is appropriate when writing a professional email?
- A. Writing the message entirely in capital letters
 - B. Using slang and abbreviations
 - C. Leaving the subject line blank
 - D. Using a clear and specific subject line
90. A machine costs \$12,000, has a salvage value of \$2,000, and has a useful life of five years. Using the straight-line method, what is its annual depreciation expense?
- A. \$2,400
 - B. \$1,600
 - C. \$2,000
 - D. \$10,000
91. If a business has total assets of \$80,000 and total liabilities of \$30,000, its owner's equity is
- A. \$110,000
 - B. \$50,000
 - C. \$30,000
 - D. \$80,000
92. An independent examination of a company's financial statements by an outside accounting firm is a(n)
- A. trial balance
 - B. budget review
 - C. external audit
 - D. internal memo

93. Information that a business collects for the first time for a specific purpose, such as through its own customer survey, is
- A. secondary data
 - B. metadata
 - C. primary data
 - D. public data
94. The four Ps of the marketing mix are product, price, place, and
- A. people
 - B. profit
 - C. promotion
 - D. packaging
95. Which factor generally has the greatest effect on a person's credit score?
- A. Annual income
 - B. Payment history
 - C. Level of education
 - D. Savings account balance
96. Which concept explains why \$1,000 received today is worth more than \$1,000 received five years from now?
- A. Time value of money
 - B. Law of diminishing returns
 - C. Economies of scale
 - D. Sunk cost
97. A bank teller who tells a friend about a customer's account balance is violating
- A. customer confidentiality
 - B. zoning laws
 - C. copyright law
 - D. trade regulations
98. Understanding and sharing the feelings of a coworker who is going through a difficult time is
- A. empathy
 - B. apathy
 - C. assertiveness
 - D. competition
99. A business has current assets of \$90,000 and current liabilities of \$35,000. What is its working capital?
- A. \$125,000
 - B. \$55,000
 - C. 2.57
 - D. \$35,000

100. The value of the next best alternative that is given up when a choice is made is the
- A. sunk cost
 - B. marginal revenue
 - C. fixed cost
 - D. opportunity cost

1. C

Encryption. Encryption scrambles data so that only someone with the correct key can read it. Financial institutions use encryption to protect customer information stored on and sent between computers.

SOURCE: NF:112

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 42-43]. Waterloo, ON: Northlake Press.

2. D

Return on investment. ROI equals the gain divided by the amount invested: $(\$5,600 - \$5,000) \div \$5,000 = 0.12$, or 12%.

SOURCE: FI:080

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 258-259]. Toronto, ON: Northlake Press.

3. A

Recruitment. Recruitment is the process of finding and attracting qualified candidates for open positions through job postings, referrals, job fairs, and other methods.

SOURCE: HR:357

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 134-135]. Waterloo, ON: Northlake Press.

4. A

Net profit margin. Net profit margin is net income divided by net sales: $\$30,000 \div \$200,000 = 0.15$, or 15%. It shows how much of each sales dollar the business keeps as profit.

SOURCE: FI:099

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 218-219]. Toronto, ON: Northlake Press.

5. C

Business ethics. Accepting a gift meant to influence your decisions creates a conflict of interest. Most financial institutions have policies that require employees to decline such gifts or report them.

SOURCE: PD:251

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 160-162]. Kingston, ON: Harbourline Books.

6. B

Contracts with minors. Because minors are not considered fully competent to contract, they can usually cancel most contracts. The adult party, however, remains bound unless the minor chooses to cancel.

SOURCE: BL:070

SOURCE: Okafor, D. (2023). Business law essentials for Canadian students [pp. 94-95]. Ottawa, ON: Maple Leaf Learning.

7. B

Unlimited liability. In a sole proprietorship, the business and the owner are legally the same, so the owner is personally responsible for all business debts. Corporations offer their owners limited liability.
SOURCE: BL:003

SOURCE: Okafor, D. (2023). Business law essentials for Canadian students [pp. 20-21]. Ottawa, ON: Maple Leaf Learning.

8. A

Deductibles. A deductible is the portion of a loss the policyholder pays. Choosing a higher deductible usually lowers the premium because the insured takes on more of the risk.

SOURCE: RM:042

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 322-323]. Toronto, ON: Northlake Press.

9. C

Brand promise. A brand promise is what a company commits to delivering to its customers. Employees support the brand promise when the service they give matches what customers were led to expect.

SOURCE: CR:001

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 58-59]. Kingston, ON: Harbourline Books.

10. A

Bonds. A bond is a loan from the investor to the issuer. The bondholder is a creditor who is entitled to interest payments and the return of principal, but does not own part of the company.

SOURCE: FI:077

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 240-242]. Toronto, ON: Northlake Press.

11. D

Supply and demand. When supply increases and demand does not change, there is more of the product available than buyers want at the old price, so the market price tends to fall.

SOURCE: EC:006

SOURCE: Practice Press. (2025). Economics for business (2nd ed.) [p. 44]. Hamilton, ON: Practice Press.

12. B

Invoices. An invoice requests payment from the buyer and usually includes the invoice number, items sold, prices, payment terms, and due date.

SOURCE: OP:017

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 78-79]. Waterloo, ON: Northlake Press.

13. B

Key performance indicators. KPIs, such as monthly sales growth or customer retention rate, let managers track progress toward goals and spot problems early.

SOURCE: SM:027

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 18-19]. Waterloo, ON: Northlake Press.

14. D

Dividends. A dividend is a distribution of a corporation's profits to its shareholders, usually paid in cash. A coupon is the interest payment on a bond.

SOURCE: FI:078

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 236-237]. Toronto, ON: Northlake Press.

15. A

Nonverbal communication. Body language can reveal feelings that people do not say out loud. Crossed arms and leaning away often suggest defensiveness or discomfort, so a professional might pause and ask whether the client has concerns.

SOURCE: CO:092

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 20-21]. Kingston, ON: Harbourline Books.

16. B

Corporations. A corporation is a separate legal entity that can own property, sign contracts, and be sued in its own name. Its owners, the shareholders, are generally not personally responsible for its debts.

SOURCE: BL:004

SOURCE: Okafor, D. (2023). Business law essentials for Canadian students [pp. 24-26]. Ottawa, ON: Maple Leaf Learning.

17. D

Active listening. Active listeners give the speaker their full attention and confirm their understanding, for example by paraphrasing or asking clarifying questions. Planning a reply or interrupting shows the listener isn't focused on the speaker.

SOURCE: CO:017

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 12-14]. Kingston, ON: Harbourline Books.

18. B

Debt-to-equity ratio. The debt-to-equity ratio compares total liabilities to owner's equity. A high ratio means the business relies heavily on borrowed money, which increases financial leverage and risk.

SOURCE: FI:095

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 216-217]. Toronto, ON: Northlake Press.

19. C

FIFO. First-in, first-out assumes the first items bought are the first ones sold, so the cost of goods sold reflects the oldest costs and ending inventory reflects the most recent costs.

SOURCE: FI:354

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 146-148]. Toronto, ON: Northlake Press.

20. B

Financing activities. Cash received from borrowing, as well as loan repayments and cash from owners, are financing activities because they change the business's debt and equity.

SOURCE: FI:097

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 203-204]. Toronto, ON: Northlake Press.

21. C

Trial balance. A trial balance lists every account and its balance at a point in time. If total debits do not equal total credits, an error was made in recording or posting transactions.

SOURCE: FI:088

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 132-133]. Toronto, ON: Northlake Press.

22. D

Gross domestic product. GDP is the most common measure of the size of an economy. Rising real GDP generally signals economic growth.

SOURCE: EC:017

SOURCE: Practice Press. (2025). Economics for business (2nd ed.) [p. 96]. Hamilton, ON: Practice Press.

23. D

Scarcity. Because there are not enough resources to satisfy everyone's wants, individuals, businesses, and governments must make choices about how to use them.

SOURCE: EC:001

SOURCE: Practice Press. (2025). Economics for business (2nd ed.) [p. 4]. Hamilton, ON: Practice Press.

24. B

Insider trading. Trading on material, non-public information is illegal because it gives the trader an unfair advantage over other investors. Securities regulators investigate and penalize insider trading.

SOURCE: BL:132

SOURCE: Okafor, D. (2023). Business law essentials for Canadian students [pp. 210-212]. Ottawa, ON: Maple Leaf Learning.

25. B

Risk-return trade-off. Investors expect to be paid for taking on more risk, so investments with higher potential returns, such as stocks, are more likely to lose value than lower-return investments such as savings accounts.

SOURCE: FI:082

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 264-265]. Toronto, ON: Northlake Press.

26. C

Simple interest. Simple interest is calculated as principal $\times$ rate $\times$ time: $\$2,000 \times 0.05 \times 3 = \300 . Compound interest would earn slightly more because interest would also be earned on interest.

SOURCE: FI:062

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 58-60]. Toronto, ON: Northlake Press.

27. B

SMART goals. Writing goals that are specific, measurable, attainable, relevant, and time-bound makes it easier to plan the steps needed to reach them and to track progress.

SOURCE: PD:018

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 130-131]. Kingston, ON: Harbourline Books.

28. D

Risk transfer. Buying insurance shifts the financial burden of a possible loss from the business to the insurance company in exchange for a premium.

SOURCE: RM:043

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 316-317]. Toronto, ON: Northlake Press.

29. D

Depreciation. Depreciation spreads the cost of a long-term tangible asset over the years the asset is used to earn revenue. Appreciation is an increase in an asset's value.

SOURCE: FI:085

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 160-161]. Toronto, ON: Northlake Press.

30. C

Stress management. Organizing work by priority and taking short breaks help employees stay focused and avoid burnout. Skipping meals and overworking usually increase stress.

SOURCE: EI:028

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 104-106]. Kingston, ON: Harbourline Books.

31. D

Inflation. Inflation reduces purchasing power, because each dollar buys fewer goods and services than it did before. Deflation is a general decrease in prices.

SOURCE: EC:083

SOURCE: Practice Press. (2025). Economics for business (2nd ed.) [p. 112]. Hamilton, ON: Practice Press.

32. C

Target markets. Businesses identify a target market so they can design products, prices, and promotions that appeal to the customers most likely to buy.

SOURCE: MK:014

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 120-121]. Waterloo, ON: Northlake Press.

33. A

SWOT analysis. Strengths and weaknesses are internal to the company, while opportunities and threats come from the external environment. A new competitor is an external factor that could hurt the business.

SOURCE: SM:007

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 12-14]. Waterloo, ON: Northlake Press.

34. B

Gross profit. Gross profit is net sales minus the cost of goods sold: $\$500,000 - \$300,000 = \$200,000$. Operating expenses are then subtracted from gross profit to find net income.

SOURCE: FI:091

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 191-192]. Toronto, ON: Northlake Press.

35. A

Workplace safety. Hazards should be dealt with right away to prevent injuries. Blocking off the area keeps customers and coworkers safe until the spill can be cleaned up.

SOURCE: OP:007

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 60-61]. Waterloo, ON: Northlake Press.

36. B

Business cycle. The business cycle moves through expansion, peak, contraction, and trough. A recession is a period of contraction marked by falling output, income, and employment.

SOURCE: EC:018

SOURCE: Practice Press. (2025). Economics for business (2nd ed.) [p. 101]. Hamilton, ON: Practice Press.

37. C

Collateral. Collateral is property the lender can take if the borrower fails to repay the loan. For example, a car is the collateral for an auto loan.

SOURCE: FI:043

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 36-37]. Toronto, ON: Northlake Press.

38. C

Internal controls. Separating the duties of handling cash and recording it makes it harder for one person to steal money and hide the theft in the records. Separation of duties is a basic internal control.

SOURCE: FI:357

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 300-302]. Toronto, ON: Northlake Press.

39. D

Real rate of return. The real rate of return is approximately the nominal interest rate minus the inflation rate: $1.5\% - 4\% = -2.5\%$. The saver's money is losing purchasing power.

SOURCE: FI:067

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 70-71]. Toronto, ON: Northlake Press.

40. B

Orientation. A good orientation program helps new employees feel welcome, understand how the business works, and become productive more quickly.

SOURCE: HR:360

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 140-141]. Waterloo, ON: Northlake Press.

41. B

Bank reconciliation. A bank reconciliation compares the cash balance in the business's records with the balance on the bank statement and explains the differences, such as outstanding cheques, deposits in transit, and bank fees.

SOURCE: FI:090

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 136-138]. Toronto, ON: Northlake Press.

42. D

Self-awareness. Self-aware people understand their emotions, strengths, and weaknesses, and how these affect others. It is the foundation of emotional intelligence.

SOURCE: EI:002

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 90-91]. Kingston, ON: Harbourline Books.

43. C

Break-even point. The break-even point in units is fixed costs divided by the contribution margin per unit (price minus variable cost): $\$20,000 \div (\$50 - \$30) = 1,000$ units.

SOURCE: FI:104

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 280-282]. Toronto, ON: Northlake Press.

44. C

Pure risk. A pure risk has no chance of gain, only the possibility of loss or no loss, which is why it can usually be insured. A speculative risk, such as starting a business, can result in a gain or a loss.

SOURCE: RM:040

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 314-315]. Toronto, ON: Northlake Press.

45. D

Résumés. A résumé gives employers a short summary of your education, experience, and skills. Its goal is to earn you an interview, not to get you the job on its own.

SOURCE: PD:026

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 140-142]. Kingston, ON: Harbourline Books.

46. D

Fiduciary duty. A fiduciary must put the client's interests ahead of their own, avoid conflicts of interest, and act with care and loyalty when managing the client's money.

SOURCE: BL:067

SOURCE: Okafor, D. (2023). Business law essentials for Canadian students [pp. 76-77]. Ottawa, ON: Maple Leaf Learning.

47. C

Financial careers. The CFP designation shows that a financial planner has met education, examination, experience, and ethics requirements for giving financial planning advice.

SOURCE: PD:024

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 150-151]. Kingston, ON: Harbourline Books.

48. A

Integrity. People with integrity are honest and follow ethical principles even when no one is watching. Reporting your own mistakes builds trust with employers and coworkers.

SOURCE: EI:023

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 98-99]. Kingston, ON: Harbourline Books.

49. A

Compounding. With compound interest, earned interest is added to the principal, so future interest is calculated on a larger balance. Over long periods, compounding greatly increases the growth of savings and investments.

SOURCE: FI:063

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 61-63]. Toronto, ON: Northlake Press.

50. B

Inventory control. Carrying costs include storage, insurance, spoilage, and the money tied up in stock. Too much inventory raises these costs, while too little can lead to lost sales.

SOURCE: OP:024

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 88-90]. Waterloo, ON: Northlake Press.

51. B

Diversification. Diversification reduces risk because poor performance by one investment may be offset by better performance from others. It is often summarized as not putting all of your eggs in one basket.

SOURCE: FI:081

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 262-263]. Toronto, ON: Northlake Press.

52. D

Breach of contract. A breach occurs when one party does not do what the contract requires. The other party may be entitled to remedies such as damages or specific performance.

SOURCE: BL:071

SOURCE: Okafor, D. (2023). Business law essentials for Canadian students [pp. 98-100]. Ottawa, ON: Maple Leaf Learning.

53. C

Monopoly. A monopoly controls the entire supply of a product, which gives it significant power over price. An oligopoly has a few large sellers.

SOURCE: EC:011

SOURCE: Practice Press. (2025). Economics for business (2nd ed.) [p. 64]. Hamilton, ON: Practice Press.

54. A

Continuing education. Many financial professionals must complete continuing education to keep their licences and designations, because laws, products, and technology change often.

SOURCE: PD:012

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 154-155]. Kingston, ON: Harbourline Books.

55. A

Business letters. Readers are busy, so an effective business letter states its purpose at the beginning. The middle paragraphs give details, and the closing paragraph states any action needed.

SOURCE: CO:133

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 40-42]. Kingston, ON: Harbourline Books.

56. D

Income statement. The income statement shows the revenues earned and the expenses incurred during a period, and the resulting net income or net loss. A balance sheet shows a business's financial position at one point in time.

SOURCE: FI:094

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 188-190]. Toronto, ON: Northlake Press.

57. A

Constructive criticism. Constructive criticism is meant to help you improve. Listening carefully and asking for specific suggestions shows maturity and a willingness to grow.

SOURCE: EI:003

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 92-93]. Kingston, ON: Harbourline Books.

58. C

Contract elements. An enforceable contract requires an offer, acceptance, consideration (something of value exchanged), competent parties, and a legal purpose. Many contracts are enforceable even if they are oral.

SOURCE: BL:069

SOURCE: Okafor, D. (2023). Business law essentials for Canadian students [pp. 88-90]. Ottawa, ON: Maple Leaf Learning.

59. C

Trademarks. A trademark protects brand names, logos, and slogans. Patents protect inventions, and copyrights protect original creative works such as books and music.

SOURCE: BL:051

SOURCE: Okafor, D. (2023). Business law essentials for Canadian students [pp. 140-141]. Ottawa, ON: Maple Leaf Learning.

60. A

Conflict resolution. Most workplace conflicts are best resolved when the people involved talk calmly, listen to each other's views, and look for a solution both can accept.

SOURCE: EI:015

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 110-112]. Kingston, ON: Harbourline Books.

61. A

Accrual accounting. Accrual-basis accounting records revenue when it is earned and expenses when they are incurred, regardless of when cash changes hands. Cash-basis accounting records transactions only when cash is received or paid.

SOURCE: FI:352

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 110-111]. Toronto, ON: Northlake Press.

62. A

Assertiveness. Assertive communicators express themselves honestly and directly without attacking others. Aggressive communicators ignore others' needs, and passive communicators ignore their own.

SOURCE: EI:009

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 100-101]. Kingston, ON: Harbourline Books.

63. A

Monetary policy. Raising the key interest rate increases the interest rates banks charge on loans. This discourages borrowing and spending and is often used to slow inflation.

SOURCE: EC:086

SOURCE: Practice Press. (2025). Economics for business (2nd ed.) [p. 121]. Hamilton, ON: Practice Press.

64. A

Purchase orders. A purchase order lists the items, quantities, and prices the buyer wants to purchase. Once the supplier accepts it, it becomes a binding agreement.

SOURCE: OP:016

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 76-77]. Waterloo, ON: Northlake Press.

65. C

Accounts receivable. Accounts receivable are amounts customers owe the business for goods or services sold on credit. They are current assets because the business expects to collect them within a year. Accounts payable are amounts the business owes to others.

SOURCE: FI:073

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 141-142]. Toronto, ON: Northlake Press.

66. D

Insurance premiums. The premium is the price of insurance coverage, usually paid monthly or yearly. The deductible is the amount the insured pays before the insurer pays a claim.

SOURCE: RM:041

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 320-321]. Toronto, ON: Northlake Press.

67. D

Difficult customers. Staying calm keeps the situation from getting worse and helps the employee focus on solving the problem. Arguing or ignoring the customer usually makes them angrier.

SOURCE: CR:010

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 74-75]. Kingston, ON: Harbourline Books.

68. A

Leadership styles. Democratic, or participative, leaders involve employees in decision-making. Autocratic leaders make decisions alone, and laissez-faire leaders give employees almost complete freedom.

SOURCE: EI:062

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 120-122]. Kingston, ON: Harbourline Books.

69. C

Handling complaints. Listening first shows respect and helps the employee understand exactly what went wrong before deciding how to fix it. Explaining policies or offering a solution too early can make the customer feel ignored.

SOURCE: CR:009

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 70-72]. Kingston, ON: Harbourline Books.

70. D

Quality control. Quality control involves inspecting or testing products and services and correcting problems so that they meet the business's standards and customers' expectations.

SOURCE: OP:020

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 100-102]. Waterloo, ON: Northlake Press.

71. A

Data backup. Backups make it possible to restore files if the originals are lost because of hardware failure, accidental deletion, fire, or malware.

SOURCE: NF:005

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 36-37]. Waterloo, ON: Northlake Press.

72. C

Payroll deductions. Employers are required by law to withhold income tax from employees' pay and send it to the government. Charitable donations and voluntary savings plans are optional deductions that employees choose.

SOURCE: FI:356

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 150-151]. Toronto, ON: Northlake Press.

73. B

Expense control. Small savings add up. Turning off unused equipment lowers energy costs, while rush shipping and unnecessary printing increase expenses.

SOURCE: OP:025

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 92-93]. Waterloo, ON: Northlake Press.

74. D

Net income. Net income is total revenue minus total expenses: $\$250,000 - \$190,000 = \$60,000$. If expenses were greater than revenue, the result would be a net loss.

SOURCE: FI:092

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 192-193]. Toronto, ON: Northlake Press.

75. D

Planning written communication. Knowing who will read the report and why determines what information to include, how much detail to provide, and what tone to use.

SOURCE: CO:088

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 36-37]. Kingston, ON: Harbourline Books.

76. B

Spreadsheets. Spreadsheet software organizes numbers in rows and columns and uses formulas to calculate totals automatically, which makes it ideal for budgets and financial analysis.

SOURCE: NF:009

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 30-31]. Waterloo, ON: Northlake Press.

77. D

Phishing. Phishing messages impersonate trusted organizations to trick people into revealing passwords, account numbers, or other personal information. Banks do not ask customers to confirm passwords by email.

SOURCE: NF:110

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 40-41]. Waterloo, ON: Northlake Press.

78. A

Customer loyalty. Customers stay with businesses they trust. Delivering reliable, consistent service over time builds that trust, while surprise fees and frequent policy changes drive customers away.

SOURCE: CR:004

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 62-63]. Kingston, ON: Harbourline Books.

79. D

Mission statements. A mission statement explains why a business exists and guides its decisions and goals. It is usually one or two sentences long.

SOURCE: SM:004

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 8-9]. Waterloo, ON: Northlake Press.

80. B

Statement of cash flows. Investing activities include buying and selling long-term assets such as equipment, buildings, and investments. Operating activities relate to day-to-day business, and financing activities involve borrowing and owners' investments.

SOURCE: FI:096

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 200-203]. Toronto, ON: Northlake Press.

81. B

Current ratio. The current ratio measures a business's ability to pay its short-term debts. It is calculated by dividing current assets by current liabilities: $\$150,000 \div \$60,000 = 2.5$.

SOURCE: FI:093

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 212-214]. Toronto, ON: Northlake Press.

82. C

Law of demand. Price and quantity demanded move in opposite directions. As prices rise, consumers buy less; as prices fall, they buy more, assuming other factors stay the same.

SOURCE: EC:005

SOURCE: Practice Press. (2025). Economics for business (2nd ed.) [p. 38]. Hamilton, ON: Practice Press.

83. A

Databases. A database stores large amounts of related information, such as customer records, in an organized way so users can quickly find, sort, and update it.

SOURCE: NF:008

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 32-33]. Waterloo, ON: Northlake Press.

84. C

Networking. Networking involves making and keeping contacts with people in your field. Many jobs are filled through referrals from professional contacts.

SOURCE: PD:037

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 146-147]. Kingston, ON: Harbourline Books.

85. B

Debits and credits. Asset accounts have normal debit balances, so increases are recorded as debits and decreases as credits. Liability and equity accounts increase with credits.

SOURCE: FI:087

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 126-128]. Toronto, ON: Northlake Press.

86. D

Budget variance. A variance is the difference between planned and actual results. Managers study large variances to find out why spending or revenue did not go as planned.

SOURCE: FI:106

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 290-291]. Toronto, ON: Northlake Press.

87. B

Liquidity. Liquidity describes how quickly and easily an asset can be turned into cash. Cash is the most liquid asset; real estate and equipment are much less liquid.

SOURCE: FI:058

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 44-45]. Toronto, ON: Northlake Press.

88. A

Mutual funds. A mutual fund combines the money of many investors and uses it to buy stocks, bonds, or other securities. Investors own shares of the fund and share in its gains, losses, and expenses.

SOURCE: FI:079

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 250-252]. Toronto, ON: Northlake Press.

89. D

Email etiquette. A clear subject line tells the reader what the message is about and helps them find it later. Writing in all capital letters is read as shouting, and slang is too informal for business.

SOURCE: CO:090

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 46-47]. Kingston, ON: Harbourline Books.

90. C

Straight-line depreciation. Straight-line depreciation equals the cost minus the salvage value, divided by the useful life: $(\$12,000 - \$2,000) \div 5 = \$2,000$ per year.

SOURCE: FI:086

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 162-164]. Toronto, ON: Northlake Press.

91. B

Accounting equation. The accounting equation states that assets equal liabilities plus owner's equity. Rearranged, owner's equity equals assets minus liabilities: $\$80,000 - \$30,000 = \$50,000$.

SOURCE: FI:071

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 120-122]. Toronto, ON: Northlake Press.

92. C

External audit. In an external audit, independent accountants examine the financial statements and records to give an opinion on whether they are fairly presented. Investors and lenders rely on audited statements.

SOURCE: FI:358

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 304-305]. Toronto, ON: Northlake Press.

93. C

Primary data. Primary data are collected firsthand for the current purpose. Secondary data were collected earlier by someone else for another purpose, such as government statistics.

SOURCE: NF:015

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 24-25]. Waterloo, ON: Northlake Press.

94. C

Marketing mix. The marketing mix is made up of product, price, place (distribution), and promotion. Businesses combine these four elements to meet the needs of their target market.

SOURCE: MK:002

SOURCE: Tran, K., & Moreau, J. (2024). Managing business operations [pp. 116-117]. Waterloo, ON: Northlake Press.

95. B

Credit scores. Paying bills on time is the most important factor in most credit scoring models. Income and savings are not part of a credit report, although lenders may consider them separately.

SOURCE: FI:035

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 30-32]. Toronto, ON: Northlake Press.

96. A

Time value of money. Money received today can be invested to earn interest, so it is worth more than the same amount received in the future. Present value and future value calculations are based on this concept.

SOURCE: FI:064

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 64-66]. Toronto, ON: Northlake Press.

97. A

Confidentiality. Financial institutions must protect customers' personal and financial information. Sharing a customer's account details without permission breaks the customer's trust and privacy laws.

SOURCE: CR:006

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 66-67]. Kingston, ON: Harbourline Books.

98. A

Empathy. Empathy means seeing a situation from another person's point of view and understanding how they feel. Empathetic employees build stronger working relationships.

SOURCE: EI:011

SOURCE: Lindqvist, A. (2022). Workplace skills: Communication, teamwork, and professional growth [pp. 94-95]. Kingston, ON: Harbourline Books.

99. B

Working capital. Working capital is current assets minus current liabilities: $\$90,000 - \$35,000 = \$55,000$. It shows how much a business has available to run day-to-day operations.

SOURCE: FI:098

SOURCE: Rivera, M., & Chen, L. (2024). Principles of finance (3rd ed.) [pp. 214-215]. Toronto, ON: Northlake Press.

100. D

Opportunity cost. Every choice has a cost: the benefit you would have received from the best option you did not choose. For example, the opportunity cost of studying tonight may be the wages you could have earned working.

SOURCE: EC:013

SOURCE: Practice Press. (2025). Economics for business (2nd ed.) [p. 9]. Hamilton, ON: Practice Press.